

VIS vs. XLI

Vanguard Industrials ETF vs. State Street Industrial Select Sector SPDR ETF

A professional comparative analysis of two of the leading U.S. industrial-sector ETFs, with emphasis on index construction, diversification, concentration, valuation, performance, liquidity, risk, and long-term portfolio role.

Report date

August 9, 2026

Primary data date

June 30, 2026 for apples-to-apples fund comparisons; selected XLI data updated through August 6, 2026.

0.09%

VIS EXPENSE RATIO

0.08%

XLI EXPENSE RATIO

396

VIS HOLDINGS (6/30)

81

XLI HOLDINGS (6/30)

Executive conclusion

VIS is the stronger strategic long-term choice for most investors who want a dedicated industrials allocation. It owns the same large industrial leaders that dominate XLI but adds meaningful mid- and small-cap exposure, reducing single-name concentration and broadening participation in reshoring, automation, infrastructure, logistics, electrical equipment, and specialized manufacturing. XLI is the superior **tactical trading vehicle** because it is substantially larger, trades far more heavily, has a slightly lower expense ratio, and delivers a purer large-cap S&P 500 industrials exposure.

Strategic winner: VIS

Tactical/liquidity winner: XLI

1. Fund Mandate and Index Construction

Category	VIS	XLI	Analytical implication
Issuer	Vanguard	State Street Investment Management / SPDR	Both are established, index-oriented ETF franchises.
Benchmark	MSCI US IMI / Industrials 25/50 Index	Industrial Select Sector Index	VIS draws from the broader U.S. investable market; XLI draws only from S&P 500 constituents.
Capitalization scope	Large, mid, and small U.S. industrial companies	Large-cap U.S. industrial companies in the S&P 500	VIS provides broader economic breadth and a modest size-factor tilt.
Inception	Sep. 23, 2004	Dec. 16, 1998	Both have long live histories; XLI has the longer trading record.
Expense ratio	0.09%	0.08%	Economically negligible difference for long-term investors.
Distribution frequency	Quarterly	Quarterly	Neither fund is designed primarily as a high-income vehicle.

Key structural difference: XLI is effectively a large-cap industrial sector sleeve carved out of the S&P 500. VIS is a broader industrial ecosystem fund. That difference matters more than the one-basis-point fee gap.

2. Portfolio Breadth, Concentration, and Holdings

VIS: broader industrial participation

At June 30, 2026, VIS held **396 stocks**. Vanguard reported a market-cap mix of 40.0% large cap, 11.3% medium/large, 25.8% medium, 10.3% medium/small, and 12.7% small cap. That makes VIS materially more diversified by company size than XLI.

Its top ten represented **31.1%** of net assets, leaving almost 69% spread across hundreds of additional companies.

XLI: concentrated large-cap sector beta

XLI held **81 stocks** at June 30 and 83 by August 6. Its June 30 top ten represented approximately **41.2%** of assets. The fund is therefore more dependent on a smaller group of mega- and large-cap industrial leaders.

The tradeoff is precision: XLI closely mirrors the industrial segment of the S&P 500, making it useful for tactical sector allocation.

Top holding (6/30/26)	VIS weight	XLI weight	Observation
Caterpillar	6.6%	8.48%	XLI has materially higher single-name exposure.
GE Aerospace	5.2%	6.74%	Major common holding.
GE Vernova	4.2%	5.46%	Both participate meaningfully in power/grid capex.
RTX	3.4%	4.42%	XLI has higher aerospace/defense concentration.
Boeing	2.2%	2.95%	Common aerospace-cycle exposure.
Eaton	2.2%	2.86%	Common electrification/data-center infrastructure exposure.
Union Pacific	1.9%	2.79%	Common freight/rail exposure.
Deere	2.1%	2.75%	Common agriculture/capital goods exposure.
Uber	1.7%	2.54%	Common transportation platform exposure.

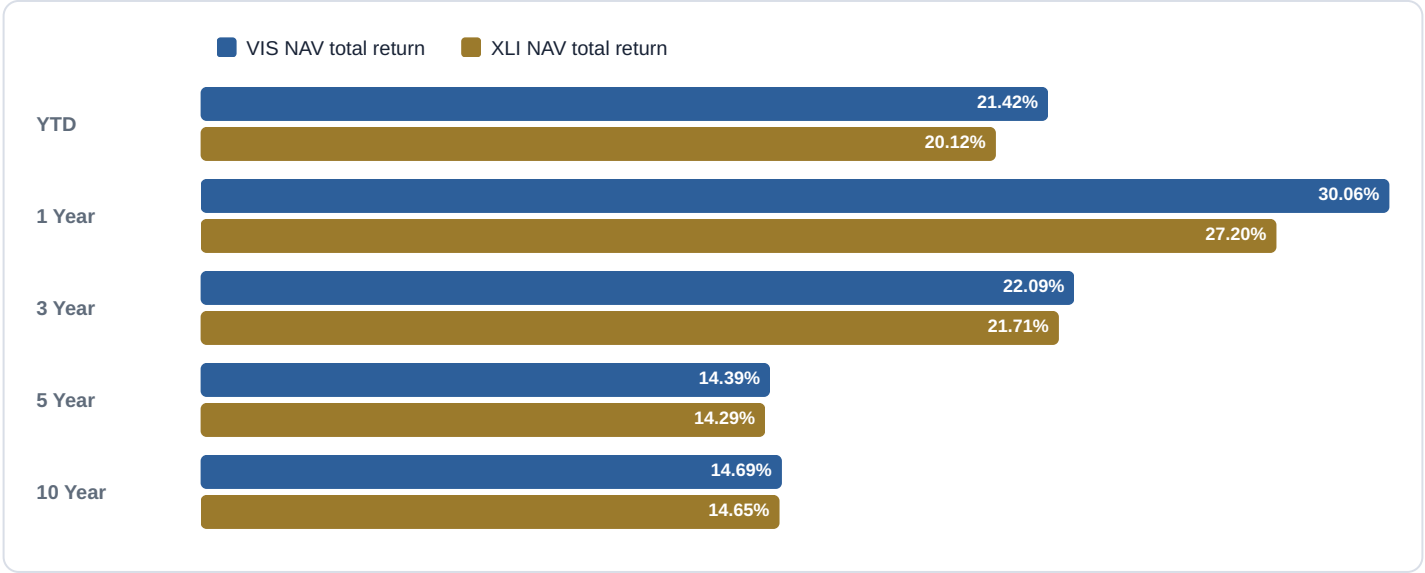
Nine of the two funds' June 30 top ten names overlap. The practical difference is not the identity of the largest holdings but how much weight sits beyond them.

3. Industry Exposure

Industry	VIS	XLI	Interpretation
Aerospace & Defense	22.8%	25.29%	XLI is more concentrated in the largest aerospace/defense franchises.
Machinery / heavy industrial machinery	Broadly distributed across multiple MSCI subindustries	21.98% machinery	Both are highly levered to capital spending and manufacturing activity.
Electrical equipment	Electrical components 8.7% + heavy electrical equipment 5.4%	14.68%	Both have substantial exposure to grid modernization and electrification.
Ground / rail transportation	Rail transportation 4.3% plus other transportation categories	9.47%	XLI's large-cap construction gives it more concentrated transport exposure.
Construction & engineering	5.4%	3.73%	VIS has broader participation in smaller contractors and engineering companies.
Building products	6.0%	5.53%	Similar cyclical construction sensitivity.

4. Performance Comparison

Using the common June 30, 2026 measurement date, VIS has modestly outperformed XLI over the recent one-, three-, and five-year periods, while the 10-year records are effectively tied. This supports the view that adding mid- and small-cap industrials has not imposed a meaningful long-run return penalty and has recently contributed incremental upside.



Period ended 6/30/26	VIS	XLI	VIS minus XLI
YTD	21.42%	20.12%	+1.30 pts
1 year	30.06%	27.20%	+2.86 pts
3 year annualized	22.09%	21.71%	+0.38 pts
5 year annualized	14.39%	14.29%	+0.10 pts
10 year annualized	14.69%	14.65%	+0.04 pts

Performance takeaway: the funds have behaved very similarly over a full cycle. VIS's broader market-cap exposure has provided a small recent edge, but fund selection should be based primarily on desired portfolio construction rather than backward-looking return differences.

5. Valuation, Growth, and Income

Metric	VIS	XLI	Read-through
P/E	31.6x (6/30, Vanguard fund fact sheet)	30.85x index P/E (8/6); 26.48x FY1 P/E	Industrials are not broadly cheap. Strong growth expectations are embedded.
Price/book	6.3x	7.15x	VIS is somewhat less expensive on book value due partly to broader mid/small-cap exposure.
Earnings growth	17.2%	16.73% estimated 3-5 year EPS growth	Both portfolios currently carry robust growth expectations.
Yield	Quarterly payer; sector income is modest	0.92% 30-day SEC yield; 1.11% distribution yield (8/6)	Return thesis is primarily capital appreciation, not current income.

The main valuation risk is multiple compression if industrial earnings growth normalizes. The industrial sector's structural tailwinds are real, but the market is already assigning premium valuations to many electrification, aerospace, power, and automation beneficiaries.

6. Liquidity and Trading Efficiency

VIS

Vanguard reported approximately **\$8.48 billion** of ETF net assets as of June 30. It is fully adequate for long-term investors and normal position sizes, but trading volume is materially lower than XLI.

Best practice: use limit orders, especially near the open/close or during volatile sessions.

XLI

State Street reported approximately **\$34.5 billion** in assets under management as of August 6, 2026, a 30-day median bid/ask spread of **0.01%**, and heavy exchange volume.

XLI is the clear winner for tactical allocation, large block trades, options, and short-horizon implementation.

7. Structural Tailwinds for Industrials

Secular drivers

- **Power and grid investment:** rising electricity demand, data-center buildout, grid resilience, and electrification support equipment suppliers and power infrastructure companies.
- **Aerospace cycle:** commercial aviation production and aftermarket demand remain important earnings engines for aerospace suppliers.
- **Defense modernization:** elevated geopolitical risk supports long-duration defense budgets and replenishment cycles.
- **Reshoring and automation:** domestic manufacturing investment benefits machinery, controls, robotics, engineering, and distribution.
- **Infrastructure renewal:** transport, construction, and public infrastructure spending provide a multi-year demand backdrop.

Cyclical sensitivities

- Manufacturing PMIs and capital-expenditure budgets.
- Nonresidential construction and private infrastructure spending.
- Freight volumes and transportation pricing.
- Interest rates and financing conditions.
- Commodity and labor input costs.
- Tariffs, trade restrictions, and supply-chain disruptions.

8. Risk Analysis

Risk	VIS	XLI	Assessment
Sector concentration	High	High	Both are dedicated sector ETFs and can materially underperform a broad-market index.
Single-name concentration	Lower	Higher	XLI's top ten is about 41.2% versus 31.1% for VIS.
Size-factor risk	Higher mid/small-cap sensitivity	Primarily large cap	VIS may be more volatile in recessions or credit tightening but may capture stronger upside in broad industrial expansions.
Valuation risk	Elevated	Elevated	Both portfolios trade at premium multiples relative to their historical sector reputation.
Liquidity risk	Low for normal investors	Very low	XLI is the stronger institutional trading vehicle.
Economic cyclicalilty	High	High	Industrial earnings remain sensitive to GDP, manufacturing, freight, and business fixed investment.

Vanguard reports a three-year standard deviation of **16.90%** for VIS as of June 30, 2026. Even with broad internal diversification, investors should expect sector-level volatility that can exceed a diversified U.S. equity portfolio during industrial downturns.

9. Portfolio Overlap and Whether Owning Both Makes Sense

Owning both ETFs usually adds complexity without adding much true diversification. Their largest positions overlap heavily, and the funds respond to the same macro drivers. A blended VIS/XLI position largely changes *weights* rather than introducing a distinct return stream.

Practical rule: choose VIS if the goal is a long-term industrial allocation with broad capitalization exposure. Choose XLI if the goal is a liquid tactical overweight to the S&P 500 industrial sector. Holding both is most defensible only if an investor deliberately wants a VIS core plus an additional large-cap industrial tilt.

10. Scenario Analysis

Scenario	Likely winner	Why
Broad U.S. manufacturing expansion with improving credit and capex	VIS	Mid- and small-cap industrials can provide greater operating leverage to a broad cyclical upswing.
Large-cap quality leadership, narrow market breadth	XLI	Higher concentration in established S&P 500 industrial leaders.
Defense/aerospace leadership	Slight XLI edge	XLI carries somewhat higher aerospace & defense weight.
Grid/electrification and power-equipment boom	Close	Both own major beneficiaries including GE Vernova and Eaton; VIS broadens exposure farther down the supply chain.
Sharp recession / credit tightening	Slight XLI edge	Large-cap balance sheets and reduced small-cap exposure may be relatively defensive, although both would likely be pressured.
Long-term diversified industrial allocation	VIS	More holdings, lower top-ten concentration, broader participation across the sector.

11. Comparative Scorecard

Criterion	VIS	XLI
Diversification	9/10	6/10
Liquidity / trading depth	7/10	10/10
Cost efficiency	9/10	10/10
Long-term strategic fit	9/10	8/10
Tactical sector precision	8/10	10/10
Concentration control	9/10	6/10
Small/mid-cap opportunity capture	10/10	2/10
Overall	9.0/10	8.1/10

12. Final Recommendation

Preferred fund: VIS for a strategic industrials allocation

Recommendation: VIS - ADD / preferred long-term vehicle. The case rests on broader diversification, lower concentration, meaningful participation in mid- and small-cap industrial companies, and a performance record that has matched or modestly exceeded XLI across common trailing periods through June 30, 2026. The additional 0.01% expense ratio is not meaningful enough to offset those structural advantages.

XLI - HOLD / preferred tactical vehicle. XLI remains an excellent ETF. It is preferable when liquidity, options access, block trading, or precise S&P 500 industrial-sector exposure is the priority. For investors who specifically want to emphasize the largest industrial franchises, XLI may be the cleaner implementation.

Valuation discipline: neither ETF should be viewed as a bargain at current sector multiples. A phased entry or rebalancing approach is preferable to treating recent strong returns as a reason to chase the sector.

Sources and Data Notes

Vanguard Industrials ETF (VIS) fact sheet, as of June 30, 2026: <https://fund-docs.vanguard.com/F0953.pdf>

Vanguard VIS fund profile: <https://investor.vanguard.com/investment-products/etfs/profile/vis>

State Street Industrial Select Sector SPDR ETF (XLI) fund page, selected data through August 6-8, 2026: <https://www.ssga.com/us/en/intermediary/etfs/state-street-industrial-select-sector-spdr-etf-xli>

State Street XLI fact sheet, as of June 30, 2026: <https://www.ssga.com/library-content/products/factsheets/etfs/us/factsheet-us-en-xli.pdf>

Performance figures are total returns reported by the fund sponsors and assume reinvestment of distributions. Periods greater than one year are annualized. Holdings, valuations, and yields change over time. This report is investment research and not individualized tax, legal, or fiduciary advice.